

July 7, 2026 09:30 PM GMT

Murata Manufacturing (6981) | Japan

Research Tactical Idea

We believe the share price will rise relative to the country index over the next 60 days.

1Q F3/27 results are scheduled to be announced at 2:00PM on July 31. We forecast 1Q operating profit at ¥90.4bn (vs. ¥61.6bn in the year-ago period, ¥78.8bn in the previous quarter, FactSet consensus of ¥85.6bn). We expect 1Q earnings to exceed market expectations, supporting a positive share price reaction following the results announcement.

We estimate that there is about an 80%+ (or "highly likely") probability for the scenario.

Estimated probabilities are illustrative and assigned subjectively based on our assessment of the likelihood of the scenario.

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Murata Manufacturing (6981.T, 6981 JT)

Top Pick

Electronic Components | Japan

Stock Rating

Industry View

Price target

Shr price, close (Jul 7, 2026)

Mkt cap, curr, basic (bn)

Avg daily trading value (bn)

Overweight

In-Line

¥12,500

¥9,212

¥16,768.5

¥50.2

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Valuation Methodology and Risks

Murata Manufacturing (6981.T)

Derived from our base case and a DCF model, with the following assumptions: 2.6% risk-free rate, 1.09 equity beta, 3.2% risk premium, yielding 6.1% WACC; zero growth from F3/36.

Risks to Upside

MetroCirc, MLCCs, and RF devices sales could outstrip our forecasts if high-end smartphone demand is stronger than we envision.

Risks to Downside

- Since Murata's core products are in all sorts of electronic devices, demand and unit prices could fluctuate widely due to changes in the global economy.
- If demand for high-end smartphones is weaker than we envision.
- We estimate a ¥1/\$ change impacts OP by ¥4.5bn.

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Global Stock Ratings Distribution

(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

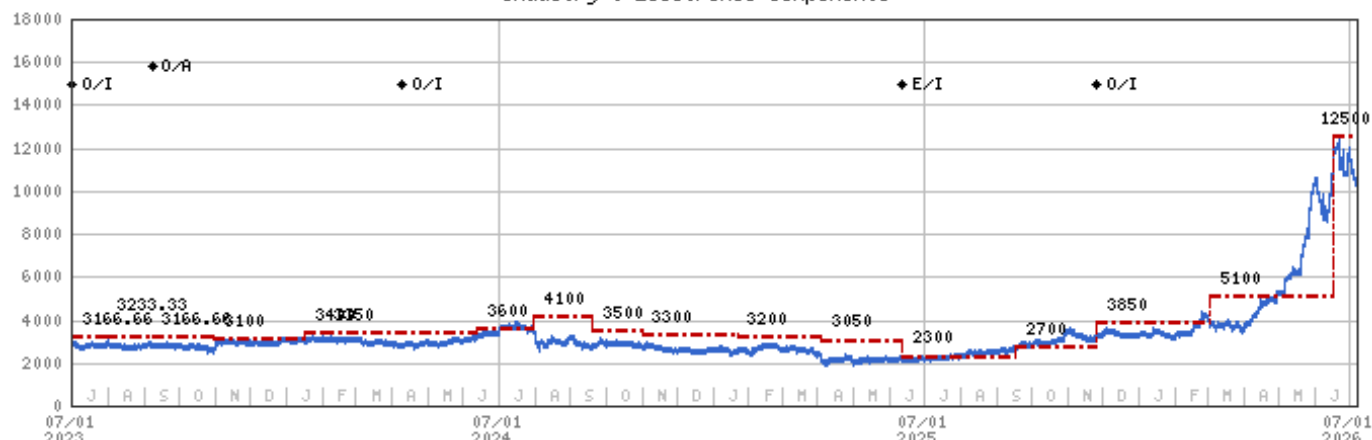
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Stock Price, Price Target and Rating History (See Rating Definitions)

Murata Manufacturing (6981.T) - As of 07/07/26 GMT in JPY
Industry : Electronic Components



Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Electronic Components

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/07/2026)
Shoji Sato		
ALPS ALPINE (6770.T)	O (03/17/2026)	¥2,033
Hamamatsu Photonics (6965.T)	E (06/17/2026)	¥2,478
Ibiden (4062.T)	U (02/04/2026)	¥19,895
Kyocera (6971.T)	E (06/25/2020)	¥3,741
Mabuchi Motor (6592.T)	E (11/03/2022)	¥1,653
Minebea Mitsumi (6479.T)	E (10/23/2025)	¥4,372
Murata Manufacturing (6981.T)	O (11/26/2025)	¥9,212
Nidec (6594.T)	NR (09/05/2025)	¥2,656
Niterra (5334.T)	O (01/17/2024)	¥10,575
Taiyo Yuden (6976.T)	U (06/17/2026)	¥16,355
TDK (6762.T)	O (08/02/2022)	¥3,357
Sota Harashima		
CMK (6958.T)	E (02/28/2025)	¥611
Daishinku (6962.T)	U (06/17/2026)	¥875
Hirose Electric (6806.T)	O (07/10/2024)	¥27,490
IRISO Electronics (6908.T)	E (08/02/2022)	¥2,890
Japan Aviation Electronics Industry (6807.T)	E (01/17/2024)	¥2,340
KOA (6999.T)	E (06/17/2026)	¥2,559
Meiko Electronics (6787.T)	E (04/03/2026)	¥26,570
Nichicon (6996.T)	E (11/10/2021)	¥3,625
Nihon Dempa Kogyo (6779.T)	E (03/07/2024)	¥3,290
Nippon Chemi-Con (6997.T)	U (09/20/2024)	¥4,250

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* Historical prices are not split adjusted.